ShopSmart Retail Group

Business Analysis and Recommendations Report

1. Key Findings

1. **BusinessSales performance:** ShopSmart Lagos was the highest-revenue store, generating 1,232,193,532. December was the strongest month, with revenue of 660,629,527, indicating a potential seasonal sales peak.
2. **Product performance and returns:** PROD0400 generated the highest reported product revenue of 21,638,851. PROD0263 had the highest recorded return count, with 11 returned order items. Management should investigate the reasons for these returns.
3. **Inventory and supplier visibility:** STR006 and STR014 each had three inventory records at or below their reorder levels, the highest counts identified in the inventory review. The available tables did not link products to suppliers, limiting supplier-level analysis.

2. Business Recommendations

1. **Strengthen sales planning:** Review the factors behind December's sales peak and use the findings to guide seasonal promotions, staffing, and inventory planning. Compare performance across stores and regions to identify practices that can be applied elsewhere.
2. **Investigate product returns:** Review PROD0263's return reasons, product condition, descriptions, and handling processes. Monitor return rates regularly and take corrective action where recurring causes are identified.
3. **Improve inventory and product decisions:** Prioritize stock reviews at STR006 and STR014, checking affected products against reorder levels before replenishment. Assess category revenue alongside cost, profit margin, returns, and stock availability before making investment decisions.

3. Risk Identified

Stockouts and lost sales: Inventory records at or below reorder levels may indicate a risk of stock shortages. Delayed replenishment could affect customer satisfaction and revenue.

4. Opportunity Identified

Data-driven operational planning: ShopSmart can improve decisions by combining sales, returns, and inventory reporting, while adding a product–supplier mapping to support supplier performance analysis and procurement planning.

Conclusion

The analysis identifies opportunities to improve sales planning, product quality monitoring, and inventory control. Management should validate the underlying figures and investigate the causes of performance differences before making significant investment or operational changes.